MORPHEUS · MORPHEUS.NZ · REVENUE MODEL

Morpheus WordPress Plugin — Revenue at Scale

What revenue the platform produces as the WordPress plugin scales from 1,000 to 1,000,000 active users — built from the repo's own business model, with the assumptions and caveats called out rather than smoothed over.

Prepared 15 October 2026 · Source: the repo's own business-model documents and the internal audit at `docs/audits/morpheus-business-model-digest.md` · Figures are projections resting on an assumed usage profile, not measured billing data.

Read this first — what "active user" means here

> Every figure below treats an **active user** as a **paying Morpheus account** that uses the WordPress plugin (connected site, consuming AI actions). It is *not* a raw plugin install. Installs become revenue only through an *install → paying* conversion rate, and — as the repo's own audit states plainly — **no telemetry exists yet** to measure that rate. So: read these numbers as "revenue at N paying active users", not "revenue at N downloads".

The unit: one active user, annualized

The model prices every action in credits (1,000 credits = $5 retail) and bills at a flat 2× markup over DeepSeek's rate, so profit on usage is roughly equal to the underlying AI cost. One "realistic active user" costs Morpheus about **$19.10/yr** in AI and retails at about **$38.55–$40.35/yr**.

Line	Cost to Morpheus / yr	Retail (user pays) / yr
AI usage, own-GitHub compile	$19.10	$38.55
AI usage, all-Priority Compile	$20.18	$40.35
Markup / gross margin	—	2× (≈50% on usage)

The $19.10/$20.18 cost and $38.55/$40.35 retail are the repo's BR-v6 / FIN figures, resting on the assumed "120 code-producing turns + 14 chats + 3 diagnoses + 3 compiles per month" profile. That profile is *assumed, not measured* — see the caveats.

Revenue at the four tiers

Retail revenue — what users pay in total per year — at 1,000 / 10,000 / 100,000 / 1,000,000 active users.

Active users	Revenue/yr (own-GitHub, $38.55)	Revenue/yr (all-Priority, $40.35)
1,000	$38,550	$40,350

Active users	Revenue/yr (own-GitHub, $38.55)	Revenue/yr (all-Priority, $40.35)
10,000	$385,500	$403,500
100,000	$3,855,000	$4,035,000
1,000,000	$38,550,000	$40,350,000

At ~$3.21–$3.36 per user per month, this is the pay-as-you-go model scaling linearly: revenue is simply *active users × $38.55–$40.35/yr*.

Gross profit (the repo's "profit" line)

What the repo's own scaling tables report as "profit" is **usage markup only** — retail minus the AI cost. It is *not* net profit; see the fixed-cost note below.

Active users	Gross profit / yr (AI + compile markup)	≈ per user / yr
1,000	$19,457	$19.46
10,000	$194,568	$19.46
100,000	$1,950,000	$19.50
1,000,000	$19,460,000	$19.46

With a 2× markup, profit on usage runs just under the revenue line's cost half — roughly $19.46 per user per year, dollar for dollar against the AI spend.

From markup to something closer to net

The headline figures deduct **no infrastructure, monitoring, Stripe fees, domain, analytics or storage**. The repo's operations plan puts a "fixed floor" under each tier — the minimum monthly burn before those variable lines. Subtracting just that floor (and nothing else) gives a truer picture:

Active users	Fixed floor / mo	Fixed floor / yr	Markup – fixed floor / yr
1,000	~$86	~$1,032	~$18,400
10,000	~$176	~$2,112	~$192,500
100,000	~$701	~$8,412	~$1,942,000
1,000,000	~$4,001	~$48,012	~$19,412,000

> **The 1,000-user row is the fragile one.** The repo's operations plan states the assumed engagement at 1,000 users may not cover even the ~$86/month floor — the break-even needs ~430% of the assumed average paid

> engagement. Treat 1,000 users as the tier where the model is least proven, not a small version of the million-user tier.

Assumptions and caveats — the honest part

- **The usage profile is assumed, not measured.** $19.10/yr and $38.55/yr come from "120 build turns + 14 chats + 3 diagnoses + 3 compiles per month" — the repo's own operations plan labels every such profile "a stated assumption, not measured data". There is **no telemetry** confirming real users behave this way.
- **That profile is the app *builder*'s, not a WordPress-site owner's.** 120 build turns/month describes someone building software. A WordPress operator may do far fewer AI-heavy actions, so per-user revenue could be *lower* than $38.55/yr — the internal audit even records a 40-turns-vs-120-turns conflict in the source documents, so the true WordPress ARPU is genuinely unknown. Read the tables as the model's ceiling until real WordPress usage is measured.
- **"Profit" is markup, not net.** The $19,457…$19.46M figures exclude infrastructure, monitoring, Stripe fees, domain, analytics and storage. They are gross profit on usage, not bottom-line profit.
- **"Active user" ≠ install.** Revenue = paying active users × ARPU. Raw plugin installs must first be multiplied by an install→paying conversion rate that is unmeasured.
- **The source documents disagree with each other.** The repo's own audit (`docs/audits/morpheus-business-model-digest.md`) catalogued 27 internal inconsistencies — free-tier wording, per-user cost ($1.591 vs <$1 vs $2.47/mo), Priority Compile pricing, and the fixed-floor arithmetic. The foundations (2× markup, $0.80/$2.40 DeepSeek rate) are consistent; the reporting layer is not. This sheet uses the BR-v6 figures as the single baseline and flags the rest rather than averaging incompatible numbers.

The bottom line

As a linear, pay-as-you-go model, revenue scales simply: **1,000 users ≈ $38.5k/yr → 10,000 ≈ $385k → 100,000 ≈ $3.86M → 1,000,000 ≈ $38.55M** of retail revenue, with usage-markup gross profit of roughly **$19.5k → $195k → $1.95M → $19.46M** before fixed and infrastructure costs. The honest caveat is the mirror image of the clean curve: those numbers ride on an assumed per-user usage profile and an unmeasured install-to-paying conversion, and the WordPress-specific profile may be lighter than the builder profile they were calibrated against. The model is sound in shape; the *level* of each tier is the thing to validate with real billing data before quoting it to anyone as a fact.

Source. The repo's own business-model documents (MORPHEUS-BUSINESS-REPORT-v6, COMMAND-DECK-BUSINESS-REPORT, INVESTOR-OVERVIEW-v5, INTERNAL-FINANCIAL-REPORT, OPERATIONS-COST-PLAN) as summarised and audited in `docs/audits/morpheus-business-model-digest.md`. Pricing constants ($5/1,000 credits, $0.005/credit, 2× markup) are cross-checked against `server/src/lib/billing.js`. All dollar figures are the repo's own; this sheet adds no independent model, only the caveats the audit already documents.